



“MANUFACTURING HAS MOVED TO THE FOREFRONT”

Rahul Jain, BCG India Head, on the future of manufacturing, how India can capitalise on global trends and more

BY ANAND ADHIKARI

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INDIA'S MANUFACTURING sector stands at a critical juncture. Initiatives like 'Make in India' and the Production-Linked Incentive (PLI) schemes have created a conducive environment for growth in sectors such as pharmaceuticals, electronics, and renewable energy. As global supply chains shift and new opportunities emerge, India is expected to corner a major share of the shift. But will this renewed push for manufacturing ensure that its share in the GDP surpasses the 20% mark? Rahul Jain, Managing Director & Senior Partner, and Head of BCG in India, spoke with Anand Adhikari about whether India is merely moving in the right direction or is genuinely poised to lead in global manufacturing. Edited excerpts:

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Over the last decade, we have seen 'Make in India' and PLI schemes aimed at encouraging manufacturing. But manufacturing's share in the country's GDP has remained less than 20% over the past few decades. What changes are you seeing on the ground?

If I go back in time, let's say seven or eight years ago, when I spoke to major corporate houses in India, manufacturing was not a priority. The focus was largely on services, consumption-led and technology-driven businesses because those sectors were generating profits and higher valuations. However, since the launch of the Atmanirbhar Bharat and PLI schemes, there has been a shift in mindset. Manufacturing

has moved to the forefront. Today, if you talk to any group, they are actively discussing what more can be done in manufacturing.

Why has this happened? It's a combination of both global and domestic factors. Globally, with geopolitical shifts and the need to diversify supply chains, many global companies view India as an attractive location. India offers geopolitical neutrality, a large labour force—not just for today but for the future as well, a reasonably good cost structure, and alignment with long-term plans to establish an alternative source for diversified supply chains. If you look at the PLI schemes, while not all planned investments have materialised, a significant portion has. Across the PLI-supported sectors,

India's share of imports has decreased, while exports have increased, which is a positive trend. That said, the share of manufacturing in the GDP has not grown substantially; it has increased only in line with overall GDP growth. Manufacturing still accounts for 17–19% of GDP. In comparison, China is at nearly 26%, and South Korea stands at 28%. Clearly, there is a long way to go. If India is to achieve its ambitious plan of becoming a \$-30 trillion economy by 2047, growth cannot be driven solely by consumption and the services sector.

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Are you seeing signs of growth in specific sectors or segments, particularly in manufacturing?

Certain sectors are already showing progress,